

Meta Platforms, Inc.

META NASDAQ

Hold

\$718.03 ▼ 0.40%

12M Price Target
\$785.00

52-Week Range
\$520.26 – \$779.82

Market Cap
\$1.83T

META: Quiet Drift Lower as Insiders Trim, Puts Pile Up

WHAT HAPPENED

- META quietly bled about 3% over the past four sessions on no real news — but the tape is telling us something: the COO dumped ~\$850K in stock last Friday, and today's options flow shows traders loading up on puts (bets the stock goes down) at the \$720-725 strikes right at current price. That's hedging behavior ahead of something — most likely Q3 earnings in late October.
- Volume today was HALF the recent average (8.5M vs 13-16M) — that's a "nobody wants to catch the knife" tape. Buyers are waiting.

WHY IT MATTERS

Here's what I think is actually happening: the stock ran from \$520 to \$780 this year on the AI-ad-monetization story, and now it's digesting while people wait for earnings to prove the capex (the \$70B+ Meta is spending on AI data centers) is actually generating returns. The insider selling + unusual put buying right at the money isn't a disaster signal, but it IS smart money saying "I don't want to be long into the print without protection." The bigger picture: Meta is caught between two political crosscurrents right now — the Trump administration has been friendlier to Big Tech on antitrust than Biden was (good), but the EU's Digital Markets Act enforcement is grinding forward and could force changes to how Meta targets ads in Europe (bad, ~25% of revenue). Translation: this is a "wait for the pullback or wait for earnings" stock, not a chase-it-here stock.

POLICY & POLITICAL WATCH

Two things to watch: First, the Kids Online Safety Act (KOSA) keeps getting reintroduced in Congress — if it passes, Meta has to overhaul how teens use Instagram, which could hit engagement and ad pricing. Second, the FTC's antitrust case to force Meta to divest Instagram and WhatsApp is still winding through courts — a loss would be existential, but most legal observers think Meta wins or settles light. On the positive side, Trump's AI executive orders have been deregulatory, which lets Meta's open-source Llama models compete more aggressively without the safety-testing bureaucracy that was proposed under Biden — that's a quiet tailwind nobody's pricing in.

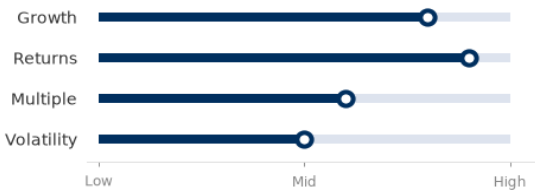
IS IT EXPENSIVE?

At \$718, Meta trades at roughly 26x next year's earnings — meaning you're paying \$26 for every \$1 the company is expected to earn in 2026. That's not cheap, but it's actually reasonable for a business growing revenue 15-18% with 40%+ operating margins. The catch: the market is already assuming the AI capex pays off. If Q3 shows ad revenue decelerating or capex guidance rising again, that multiple compresses fast.

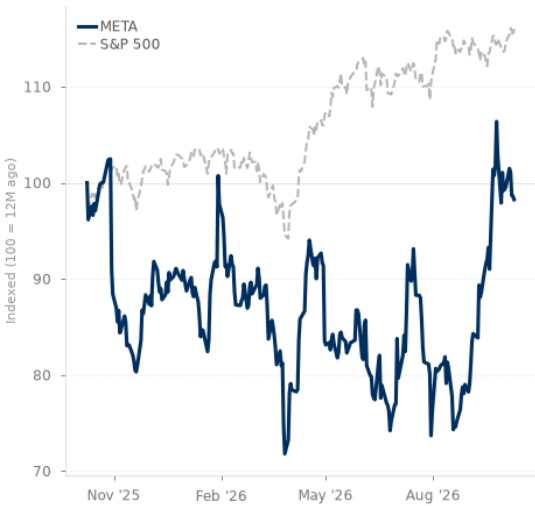
Key Data

Price (USD)	\$718.03
12M Price Target	\$785.00
Upside / (Downside)	+9.3%
Market Cap	\$1.83T
FY2026E Revenue	\$198M
FY2027E Revenue	\$228M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	26.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$760.00	\$725.00	\$680.00
6 Months	\$850.00	\$780.00	\$650.00
1 Year	\$920.00	\$785.00	\$600.00
2 Years	\$1100.00	\$880.00	\$550.00
5 Years	\$1500.00	\$1100.00	\$500.00
10 Years	\$2400.00	\$1600.00	\$450.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.6%) and Utilities (+3.9% over 5 days) — this is a rate-cut trade. Investors think the Fed is cutting again, which helps anything with debt/yield. Healthcare also strong, likely on election-year clarity around drug pricing.

COOLING OFF: Tech isn't on the leaderboard today — rotation out of mega-cap growth into rate-sensitive sectors. That's the headwind pressuring META right now, not anything company-specific.

ROTATION WATCH: Money is leaving crowded AI winners (META, NVDA, GOOGL) and moving into laggard sectors that benefit from lower rates. This is tactical, not thematic — these rotations typically last 2-4 weeks before mean-reverting.

RELATED PLAY: If you believe AI capex is real, the picks-and-shovels names — power/utilities serving data centers (VST, CEG) and semis (NVDA, AVGO) — benefit regardless of which hyperscaler wins.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Benefitting from the same AI-ad narrative with less capex criticism — Gemini is finally shipping product that users notice
- NFLX (Netflix): Ad-tier is scaling and they have zero regulatory overhang vs. Meta — the "clean" way to play digital ad growth

META CONTEXT: META is LAGGING its mega-cap peers this week, which tells me the softness is Meta-specific (insider selling, pre-earnings jitters) rather than a sector call. That's actually constructive — it means a good earnings print could trigger catch-up buying.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the business, but I don't love the entry here with insiders selling and puts stacking up two weeks before earnings.

POSITION SIZE: 3-5% of portfolio — core holding size, not a trade. Meta is a franchise asset but not cheap enough to overweight.

ENTRY POINTS: I'd scale in at \$700, add more at \$680. If it rips to \$750 before earnings, let it go and wait for the post-print reaction.

TIME HORIZON: 12-18 months — the catalyst is proof that AI capex is translating to ad revenue growth and new Meta AI/WhatsApp monetization streams.

WHEN TO BAIL: Ad revenue growth below 12% YoY, 2027 capex guided above \$95B, or an EU structural remedy on ad targeting. Any of those three = exit.

HEDGING: Simplest move — buy a put option 10% below current price expiring after earnings. Costs about 2% of your position but caps your downside if the print is ugly. Or just keep the position smaller and sleep better.